A Unique Idea: Does It Exist?

Many times, founders are dumbstruck when their idea seems to have been already put into practice by someone else; and this can be quite disheartening for them. However, there will always be similar ideas, and it is very rare that an idea occurs that is so very different from the others'. But if you can solve a problem for your customers better than the others, there's nothing that can beat you. And there is nothing like good execution.

The start of a venture still requires a lot of work that needs to be done. Jayaraju advises, "I think it is a great period to be focused on inwardly developing your product, or your solution matrix, and actually testing it out. This sort of gives you a cocoon where you can stay away from market dynamics or distractions and be absolutely focused."

Self-validation

Building a startup takes enormous amount of time, energy, and resources, which is why the process of self-validating the seemingly remarkable idea is crucial. "The purpose of self-validation is to come to a decision of should I go ahead or not," says Jayaraju.

Self-validating your idea before fully investing in your startup can help you make the right choices. During self-validation, the idea may not seem fit to be taken forward. This could be due to bigger competitors, the economics which do not seem to work, or the product suits only a niche market. Proper analysis could compel you to not to go ahead with your idea or change it to improve its chances.

Validation of the product needs to come from the end-users rather than just family members or close friends. Various mentors, tools, and techniques are available to validate a product but, ultimately, the real test is whether the customer is willing to pay for your product.

Figuring out how well your idea, product, or solution fits the overall market demand is a crucial step, called the product-market fit. As per Jayaraju, "Product-market fit is very simple. The user of your product, whether it is a business or the end-consumer, should start missing your product on a daily basis. That is when you can say that you are getting a huge demand which is unlimited."

Shastry adds, "You should have the ability and gumption to create something on your own rather than just relying on receiving funds. If you get twenty customers to pay you in advance, you create a product of resources."

For self-validation, Jayaraju suggests the simple method of showing the product to at least fifty people from various industries/demographics and taking their feedback. He insists that keeping this as a fairly sacrosanct number is important, particularly because the kind of response you may get from just five people could be completely different from what you might receive from fifty people. He says, "Confusion arises if the number is less, as some people may or may not like your idea. But the moment you move to fifty, you will have an accumulation of so many views. The aggregation of those views helps you know what points to pick up and what not to."

Once you have gathered a clearer picture of what may work for the people, it is time to create a prototype, or a minimum viable product (MVP). The prototype is not the final product, and at best can be considered as a preliminary version of what it could be. It is advised that you spend minimum time and resources on building it.

Jayaraju comments, "One of the biggest mistakes that startups end up making is that they fall in love with the product and not the solution and spend months in building the product. Instead, I think they should be very scrappy about building the first version and ideally aim to finish it within a maximum of thirty days. You can build your second, third, or fourth version based on the users' advice, and give it to them for free, even if you think your product is going to be highly-priced, so that they can try it and provide their feedback. This is a really important step after self-validation."

This helps you track which version of your product has the maximum potential. The feedback given for the product is valuable as it helps you understand what a customer finds useful and what aspects of the product need to be changed. According to Jayaraju, this is a foolproof way to understand what value your final product provides to the customer.

Finding the ideal team

The people involved in starting a startup can also be called the founding team. It is critical to choose the right people in the team who understand your vision for the company and the product. No one person has all the skills required to build a startup, which is why choosing people with varied skill-sets helps to a great extent.

But that's not all. It is also important that the founding team members have the right chemistry with each other. There needs to be a clear understanding between the founders of their competencies and their role in building the startup.

If you are working full-time as an employee in another company, there is no way you can put in your full effort into the startup. In such a case, a team can help share efforts and time. Jayaraju opines, "Cultural mingling of teams and how they get along is very important. The willingness to sweat it out and not sleep is the sort of passion that breeds a very different level of startups."

Competencies and skill-sets to look for in a team can vary based on the vertical under which the product functions. For a tech startup, it is important to have someone with a broad technical background and someone with a broad business development background.

The Chief Technical Officer should be one who understands the mechanics of the product being built. Having a group or an expert for business development is equally important for figuring out a suitable business model and scaling the startup to next level. Overall, it can be said that stronger the foundation, the higher the fortress goes.

The first 500 days

The initial days of a startup are a deciding factor of how its journey would look like. With much to figure out while building a company, the learning really has no end—no matter how big it gets.

Notably, the initial days pass by in figuring out and having a stable business model in place. You try to have a steady cash flow from a stable customer base and try to keep your input and output in sync. Ray says, "A clear